

How to Win Big and Lose Small

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Someone once said the surest way to make a small fortune in futures trading is to start with a large fortune. Unfortunately, there is considerable truth in that bit of cynical logic.

Clearly, the losses outnumber the winners, and by a large margin. So what is it that keeps us in the “game”?

For me, it is the knowledge, confirmed by experience, that the futures market is still the best way for an investor to enjoy the potential of being able to play a relatively small stake into a substantial fortune.

We should focus, however, on the fact that we are speculators and not gamblers. We study each market situation—past and projected price action—concentrating on either the technical or fundamental factors, or possibly a balance of both. Then we formulate a strategy that should include contingencies for both winning and losing positions. And all this should be done before entering the market.

THE ‘BIG SCORE’

Furthermore—and this should be paramount—we do not trade for the action, the excitement or to entertain friends